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1. INTRODUCTION

Secure Bank's **Policy & Operations Manual** serves as the authoritative reference framework governing all functional, administrative, and compliance-related activities across the organization. It establishes a unified system of policies, Standard Operating Procedures (SOPs), and internal controls designed to ensure that every employee, department, and branch operates in a manner that is **secure, compliant, efficient, and customer-centric**.

The manual defines the **governance structure**, roles, responsibilities, and escalation mechanisms necessary to ensure smooth day-to-day operations and consistent implementation of the Bank's mission, regulatory obligations, and strategic commitments. It also outlines the mandatory behavioral, operational, and ethical standards required from all individuals acting on behalf of Secure Bank.

As part of Secure Bank's ongoing commitment to excellence, transparency, and risk mitigation, this manual is periodically reviewed and updated to remain aligned with evolving **Reserve Bank of India (RBI)** guidelines, national and international financial regulations, market practices, and internal audit findings.

Objectives

The primary objectives of the Secure Bank Policy & Operations Manual include, but are not limited to, the following:

1. Regulatory Compliance

- Ensure strict adherence to **RBI regulations**, Banking Regulation Act, KYC/AML guidelines, cybersecurity directives, consumer protection norms, and all applicable statutory requirements.
- Provide employees with clear compliance steps to avoid legal violations, penalties, or reputational risks.

2. Standardization of Internal Processes

- Establish uniform procedures across all branches and business units for customer onboarding, account servicing, cash operations, lending, card issuance, digital banking, and grievance handling.
- Reduce process deviations and ensure consistent customer experience regardless of geographic location.

3. Strengthening Internal Controls

- Define clear checks and balances for authorization, transaction verification, record-keeping, and audit readiness.
- Minimize operational risks such as fraud, data breaches, financial misstatements, and process failures.
- Promote a culture of accountability and controlled execution.

4. Operational Efficiency

- Streamline workflows to enhance service delivery speed, reduce turnaround times, and improve productivity.
- Clearly define branch-level, department-level, and individual-level responsibilities to avoid duplication of work and confusion.

5. Risk Management & Security

- Incorporate proactive risk identification, mitigation, and monitoring mechanisms.
- Ensure that physical, digital, financial, and informational assets are safeguarded from both internal and external threats.
- Promote strong cybersecurity practices, customer data privacy, and secure transaction processing.

6. Employee Guidance & Training

- Provide employees—new and existing—with comprehensive procedural guidance to enhance skill levels and operational competency.
- Support continuous learning through updated policy amendments, training schedules, and communication protocols.

Scope

The Secure Bank Policy & Operations Manual applies to the following entities, functions, and operational layers:

1. Organizational Coverage

- **All Secure Bank branches**, regional offices, head office departments, and corporate units.
- Support divisions such as Operations, IT, HR, Risk, Compliance, Finance, Treasury, Customer Support, and Digital Banking.

2. Personnel Coverage

- **All permanent and probationary employees** of Secure Bank.
- **Contractual staff**, outsourced personnel, business correspondents, and third-party service providers acting on behalf of the bank.
- Temporary workers, interns, and consultants who handle bank data, systems, or customer interactions.

3. Functional Coverage

- Customer onboarding, KYC verification, and due diligence procedures.
- Cash management, vault operations, teller activities, ATM operations, and cash reconciliation.
- Loan origination, underwriting, disbursement, monitoring, and recovery functions.
- Card services, digital channels, mobile/online banking operations, cybersecurity protocols.
- Record management, MIS reporting, internal audit support, and regulatory submissions.

4. Technology & Security Coverage

- Use of bank-approved hardware, software, communication channels, and digital platforms.
- Data privacy, information security, system access controls, password policies, backup operations, and incident reporting mechanisms.

5. External Interaction Coverage

- Customer-facing operations, grievance handling, service quality guidelines, and escalation matrices.
- Interaction with regulators, auditors, law-enforcement agencies, and other financial institutions.

2.2 KYC Process Flow

The following steps must be completed during onboarding:

1. Customer Identity Verification (CIV)

- Verification of identity documents using official databases / digital KYC methods.
- Face-match verification (if applicable) through approved systems.

2. Address Verification

- Validation through documents such as Aadhaar, Passport, Driving License, or utility bills.
- For non-residents, permitted foreign documents may be used.

3. Screening Against Watchlists

- Mandatory checks against:
 - Secure Bank internal risk lists
 - National watchlists
 - Global sanctions lists (UN, OFAC, etc.)
- Any positive match must be escalated to the compliance officer.

4. Customer Risk Categorization

Customers are assigned a risk level based on profile, geography, occupation, transaction pattern, and screening results:

- **Low Risk** – Salaried individuals, retirees
- **Medium Risk** – Small business owners, self-employed
- **High Risk** – Politically Exposed Persons (PEPs), high-value traders, foreign nationals in high-risk jurisdictions

5. Enhanced Due Diligence (EDD)

Applied to **high-risk customers**, requiring:

- Additional identity/address documents
 - Source of funds verification
 - Managerial approval before onboarding
 - Increased transaction monitoring
-

2.3 Periodic KYC Requirements

To ensure ongoing compliance:

Risk Category	KYC Update Frequency
Low Risk	Every 3 years
Medium Risk	Every 2 years
High Risk	Every 1 year or as required

Additional periodic checks:

- Re-screening against watchlists
- Review of unusual transaction patterns
- Verification of updated contact details

2.4 Additional Onboarding Controls

- In-person verification or Video-KYC is required for certain account types.
- Accounts may be **restricted** until KYC is fully completed.
- Any discrepancy in documents must be resolved **before** activation.
- Third-party or proxy onboarding is **strictly prohibited**, except for legally approved methods.

2.5 Record Retention

All KYC and onboarding documents must be stored securely for a minimum of **10 years**, digitally or physically, in compliance with data protection norms.

3. ACCOUNT OPERATIONS POLICY

The Account Operations Policy defines the standardized rules, financial parameters, and operational controls governing all deposit accounts at Secure Bank. These guidelines ensure transparent, compliant, and customer-centric handling of account lifecycle activities across all branches.

3.1 Permitted Account Types

Secure Bank supports multiple categories of accounts tailored to diverse customer requirements. Each account type has specific eligibility criteria, minimum balance rules, interest calculations, and fee structures.

1. Savings Account

Designed for resident individuals seeking secure savings with moderate interest earnings.

Key Features

- Interest earned on daily closing balance; credited quarterly.
 - Typical interest range: 2.5% – 4% per annum (bank-declared, subject to change).
 - Minimum Average Balance (MAB):
 - Urban branches: ₹10,000
 - Semi-urban: ₹5,000
 - Rural: ₹2,000
 - MAB Penalties (illustrative):
 - Shortfall up to 25% → ₹100 fee
 - Shortfall 25–50% → ₹150 fee
 - Above 50% → ₹200 fee
 - ATM withdrawal limit: ₹25,000 per day (may vary by card type).
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2. Current Account

Intended for businesses requiring high-volume transactions.

Key Features

- No interest payable.
 - Higher transaction limits; NEFT/RTGS limits based on customer profile.
 - Minimum Monthly Average Balance:
 - Standard Current Account → ₹25,000
 - Premium Current Account → ₹50,000
 - Overdraft eligibility is case-to-case based on financials and collateral.
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3. Salary Account

Zero-balance payroll account for salaried employees of empaneled organizations.

Key Features

- No minimum balance requirement.
 - Interest rate same as regular Savings Account.
 - Converts to a Savings Account after 90 days of salary inactivity.
 - Upon conversion, Savings Account MAB rules apply.
-

4. Senior Citizen Account

Special variant for customers aged 60 years and above.

Key Features

- Additional interest rate benefit: +0.50% on Savings & FD rates.
 - Cheque book issuance with reduced fees.
 - Higher ATM withdrawal limits (up to ₹40,000/day).
 - Lower MAB requirement: ₹5,000 (urban & semi-urban).
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5. NRI Account Types

a. NRE (Non-Resident External) Account

- Maintained in INR; fully repatriable.
- Interest rate: 4% – 5.5%, tax-free in India.
- Only foreign income deposits allowed.

b. NRO (Non-Resident Ordinary) Account

- For managing income earned in India.
- Interest rate: 2.75% – 4% (subject to TDS).
- Repatriation restricted to permitted limits.

c. FCNR (Foreign Currency Non-Resident) Account

- Fixed deposits maintained in foreign currency.
 - Tenure: 1–5 years.
 - Interest rates vary by currency (USD, GBP, EUR, etc.).
 - Protection from currency fluctuation risk.
-

3.2 General Rules Applicable to All Deposit Accounts

1. Interest Calculation

- Savings interest calculated on daily closing balance.
- Credited quarterly or as per regulatory norms.
- No interest on accounts classified as dormant.

2. Minimum Balance Monitoring

- Monitored monthly or quarterly based on account type.
- Non-maintenance charges apply automatically.

3. Dormant / Inactive Account Classification

- Inactive after 12 months of no customer-initiated transactions.
- Dormant after 24 months of inactivity.
- Withdrawals from dormant accounts require enhanced verification.

4. Transaction Limits

- Cash deposit/withdrawal limits depend on branch jurisdiction, AML rules.
- Electronic payments (NEFT/IMPS/RTGS) follow RBI/Regulator guidelines.

5. Cheque Book Operations

- Cheque books issued post-KYC validation.
- Charges apply beyond free cheque leaves.

6. Account Closure

- Customer request + identity verification mandatory.
- Dues, penalties, and charges adjusted before closure.

3.3 Account Closure Policy

Account closure must follow controlled, documented processes ensuring all customer liabilities and compliance checks are completed.

1. Customer Request

- A written and signed closure request is mandatory.
- For joint accounts, all account holders must sign unless the mandate states otherwise.

2. Pre-Closure Verification

Before processing the closure, branch operations must confirm:

- No pending charges or overdraft dues
- No lien or freeze instructions
- No ongoing investigation or suspicious transaction alert
- No pending cheques or card settlements

3. KYC Verification

- If the last KYC update is **older than 2 years**, updated KYC is mandatory before closure (except where exempted by regulations).

4. Settlement of Balance

- Positive balances must be transferred to another account or provided via banker's cheque/NEFT as requested.
- For NRI customers, repatriation rules apply based on account type.

5. Closure Confirmation

- System must record closure reason.

- Customer must receive:
 - Account closure acknowledgement
 - Final statement (if requested)
-

3.4 Record Retention

- Account opening forms, KYC documents, modification forms, and closure documents must be retained for **10 years**, in line with regulatory requirements
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4. LOAN PROCESSING & CREDIT POLICY

The Loan Processing & Credit Policy defines standardized rules for evaluating, approving, disbursing, and monitoring loans. It ensures responsible lending, regulatory compliance, and robust credit risk management.

4.1 Loan Categories

Secure Bank offers multiple retail loan products. Each product includes specific interest bands, collateral rules, LTV limits, and fee structures (illustrative, generic values).

a) Home Loan

Typical Interest Rate Range: 8.25% – 10.75% p.a. (floating)

Processing Fee: 0.25% – 0.50% of loan amount

Maximum Tenure: Up to 30 years

LTV (Loan-to-Value) Norms:

- Property value < ₹30 lakh → up to **90%**
- ₹30–75 lakh → up to **80%**
- Above ₹75 lakh → up to **75%**

Key Conditions

- Registered mortgage mandatory.
- Property insurance coverage must be active.
- EMI based on reducing balance method.

b) Personal Loan

Typical Interest Rate Range: 11.5% – 22% p.a.

Processing Fee: 1% – 2.5%

Tenure: Up to 5 years

Risk Notes

- Fully unsecured → requires strong credit score (700+).
- CIBIL score below 650 may cause higher rate bands or reduced loan quantum.
- FOIR limit generally $\leq$ **40%** for personal loans.

c) Auto Loan

New Vehicle Loan Rate: 8.75% – 12.5% p.a.

Used Vehicle Loan Rate: 11% – 16% p.a.

Processing Fee: 0.5% – 1%

LTV Limits

- New four-wheeler: up to **85–90%** of on-road price
- Two-wheeler: up to **80–85%**
- Used vehicle: **60–70%** of assessed value

Key Conditions

- Vehicle hypothecation until closure.
- Mandatory valuation for pre-owned vehicles.

d) Education Loan

Interest Rate Range: 9% – 14% p.a. (linked to program/institution rating)

Processing Fee: Nil to 1% (varies by scheme)

Moratorium: Course period + 6–12 months

Funding Coverage

- Tuition fees, hostel fees, exam fees, books, equipment, travel (foreign).
 - Co-applicant(s) required for most students.
-

4.2 Eligibility Assessment

(No repetition; only numerical details added)

a) Income Verification (Numerical Thresholds)

- Minimum monthly net income (indicative):
 - Personal Loan: ₹20,000 – ₹30,000
 - Auto Loan: ₹18,000 – ₹25,000
 - Home Loan: ₹25,000+ (varies by location)

b) Credit Score Requirements

- Ideal score: **700+**
- High-risk band: **<650** → may require collateral/guarantor or enhanced rate.
- Excessive credit enquiries (>4–6 in last 6 months) trigger deeper scrutiny.

c) FOIR Standards

- Personal Loan: ≤ **40%**
- Auto Loan: ≤ **45%**
- Home Loan: ≤ **50%** (flexible up to 55% if income is high and stable)

d) Documentation SLA

- KYC verification: **within 24–48 hours**
- FI report: **within 3–5 working days**

4.3 Sanction Rules

Additional numerical elements added.

b) Collateral Valuation

- Two independent valuations mandatory for properties > **₹1 crore**.
- Valuation validity: **6 months**.

c) Processing Fee

- Home Loan: **0.25% – 0.50%**
- Personal Loan: **1–2.5%**
- Auto Loan: **0.5–1%**

- Minimum charge slab: ₹999 – ₹2,500

e) Pre-Disbursement Compliance

- LTV must not exceed policy limits.
 - Insurance coverage sum insured = **property value or loan amount (whichever higher)**.
 - Correct interest type (fixed/floating) must be encoded in CBS.
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4.4 Disbursement Process

(Numerical details added where applicable)

- Home Loan disbursements for under-construction property follow **progress-based releases (10–25% per stage)**.
 - Personal and auto loan disbursements typically completed within **24–48 hours** after documentation.
-

4.5 Loan Monitoring & Portfolio Management

a) EMI Monitoring Thresholds

- 1st EMI bounce → customer call + SMS
- 2 consecutive bounces → account flagged as **high-risk**
- 3 consecutive bounces → case forwarded to **CMU**

b) SMA / NPA Classification Timeline

- **SMA-0:** 1–30 days overdue
- **SMA-1:** 31–60 days
- **SMA-2:** 61–90 days
- **NPA:** >90 days overdue

c) Recovery Actions

- Soft recovery: **0–60 days**
 - Hard recovery/legal: **>90 days**
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4.6 Documentation & Audit Compliance

Added quantifiable details:

- Every loan file must contain **minimum 10 mandatory documents** (KYC, FI, sanction note, valuation, EMI mandate, etc.).
 - Document storage retention: **8 years** post loan closure (generic industry norm).
 - Audit findings must be resolved within **30 days** of report issuance.
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5. CARD ISSUANCE & FRAUD PREVENTION POLICY

This policy outlines the issuance, usage, security, monitoring, interest charging rules, and dispute mechanisms governing Debit and Credit Cards issued by Secure Bank.

5.1 Card Types Offered

1. Debit Cards

Linked directly to the customer's Savings or Current Account.

Typical Numerical Limits

- **ATM Withdrawal Limit:** ₹20,000 – ₹50,000 per day
- **POS/Online Purchase Limit:** ₹50,000 – ₹2,00,000 per day
- **International FX Markup:** 2% – 3.5% (if international usage enabled)
- **Annual Fee:** ₹150 – ₹500 (variant-dependent)

Features:

- ATM, POS, UPI, NFC support
 - Zero-liability protection for fraudulent transactions reported within **24 hours**
-

2. Credit Cards (Gold / Platinum Variants)

Credit facility offered with interest-based repayment.

Typical Numerical Features

- **APR (Interest Rate):** 30% – 42% per annum (2.5% – 3.5% per month)
- **Interest-Free Grace Period:** 20–50 days
- **Late Payment Fee:** ₹200 – ₹1,000 (tiered by bill amount)
- **Cash Advance Fee:** 2.5% – 3% of withdrawn amount

- **FX Markup (International): 3% – 3.5%**
- **Annual Fee:**
 - Gold: ₹500 – ₹1,000
 - Platinum: ₹2,000 – ₹5,000
- **Minimum Due Payment:** Usually **5%** of outstanding balance

Benefits:

- Lounge access for Platinum
- EMI conversion at **12% – 18% p.a.**
- Reward points (1–5 points per ₹100 spent)

5.2 Card Lifecycle Stages

1. Application & Identity Verification

- KYC + PAN mandatory
- Credit Cards require:
 - **Minimum Income Criteria:** ₹20,000 – ₹40,000 per month
 - **Minimum Credit Score:** **700+** recommended

2. Card Printing & Secure Dispatch

- Printed at PCI-DSS compliant facility
- Undelivered cards destroyed after **30–45 days**

3. PIN Generation

- Mandatory OTP authentication
- PIN reset validity checks every **6 months** for security

4. Transaction Monitoring (Real-Time)

Fraud engine monitors:

- **High-value transactions:** >₹25,000

- **Unusual spend spikes:** 3+ transactions in 2 minutes
 - **International attempts without prior enablement**
 - **Multiple incorrect PIN attempts (3–5 times)** → automatic temporary block
-

5.3 Fraud Detection & Prevention Rules

1. Geo-Location Mismatch Alerts

Triggered if:

- Transactions occur in 2 different cities/countries within **10–15 minutes**

2. Rapid Transaction Bursts

- More than **5 attempts within 60 seconds**
- System triggers auto-block

3. High-Value MCC Scrutiny

Extra verification for transactions above:

- **Domestic:** >₹50,000
- **International:** >₹25,000 – ₹30,000

4. Mandatory 2-Factor Authentication (2FA)

- OTP required for online transactions
- International e-commerce uses 3-D Secure or CVV-based approval

5. Lost/Stolen Card Protocol

- Blocking within **5 minutes** of customer reporting
 - Replacement dispatched within **3–5 working days**
-

5.4 Chargeback & Dispute Resolution Policy

1. Chargeback Request Window

- Must be filed within **30 days** of transaction
- International card network timelines: **45–120 days** depending on network

2. Required Documents

- Dispute form

- Proof of non-participation
- Transaction SMS / Statement excerpt

3. Bank Responsibilities

- Acknowledge within **24 hours**
 - Provide provisional credit within **7–10 days**, where applicable
 - Final resolution as per network SLA:
 - Visa/Mastercard: **45–90 days**
 - Rupay: **30–60 days**
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5.5 Record Retention

- Card issuance, KYC, PIN logs, chargeback documents kept for **minimum 10 years**
- ATM CCTV footage retention: **90 days** (industry standard)

6. BRANCH OPERATIONS POLICY

The Branch Operations Policy governs the daily functioning, safety standards, cash handling procedures, customer-facing operations, and backend administrative protocols across all **Secure Bank** branches. All branch personnel must strictly adhere to these guidelines to maintain operational integrity, ensure security, and comply with regulatory expectations.

6.1 Teller Operations

Tellers play a critical role in cash management and customer transactions. The following controls ensure secure and compliant handling of cash:

1. Cash Holding Limits

- Maximum cash that a teller may hold at any time: **₹2,00,000**.
- Excess cash must be moved to the branch vault immediately through a documented cash transfer slip.

2. Cash Replenishment

- Cash received from the vault must be:

- Verified by both teller and vault custodian
- Logged in the **Cash Replenishment Register**
- Reflected in the Core Banking System (CBS)
- Replenishment must only be done during authorized time windows unless in emergencies approved by the Operations Manager.

3. Dual Custody Protocol

- **Vault keys** must always remain under **dual custody**:
 - Primary Key Holder (Operations Manager)
 - Secondary Key Holder (Designated Teller / Officer)
 - Keys must never be kept together or left unattended.
 - Access to the vault requires **presence and signature** of both custodians.
-

6.2 Locker Operations

Secure Bank provides safe deposit locker services under a regulated and audit-compliant framework.

1. KYC Requirements

- Locker allocation is permitted **only after full KYC verification** of the customer.
- For joint locker holders, KYC must be completed for **all applicants**.
- High-risk customers must undergo enhanced due diligence before allocation.

2. Access Logging

Every locker visit must be recorded in the **Locker Access Register**, capturing:

- Date & time of access
- Customer's signature
- Officer's signature
- Locker number
- Any observations or irregular behavior

Electronic logs (if available) must be reconciled weekly.

3. Locker Break-Open Procedure

A locker may be forced open under the following conditions:

- Non-payment of rent despite due notices
- Customer request (lost key)
- Regulatory or court order

Break-open must strictly follow **RBI-mandated guidelines**, including:

- Presence of branch manager + authorized officer
 - Videography of the entire procedure
 - Detailed written inventory of locker contents
 - 7-day prior notice to customer (unless prohibited by law)
-

6.3 End-of-Day (EOD) Procedures

End-of-Day processes ensure accuracy, prevent financial discrepancies, and maintain audit readiness.

1. Cash Tally

- All cash drawers must be tallied with the **CBS (Core Banking System)**.
- Variations (excess/short) must be:
 - Reported immediately
 - Recorded in the Cash Variation Register
 - Escalated to the Branch Manager

2. Suspense Account Clearance

- All suspense entries must be reviewed and cleared the *same day*.
- Outstanding suspense items must be:
 - Documented with reason
 - Escalated if pending beyond 24 hours

3. Audit Log Backup

- System audit logs, transaction summaries, and CCTV retention logs must be:
 - Backed up to the **secure central server**
 - Verified by the Operations Manager
 - Stored in compliance with record-retention policy

4. Physical Security Checks

Before closing the branch:

- All cash safes, strong room doors, and lockers must be secured.
 - Alarms and CCTV systems must be checked.
 - Visitor registers and manual logs must be closed and archived.
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6.4 Staff Responsibilities

- Tellers must maintain accuracy, confidentiality, and professional conduct.
- Operations Manager ensures compliance with internal controls and RBI guidelines.
- Branch Manager oversees custodial duties, escalations, and adherence to policy.

7. INFORMATION SECURITY POLICY

The Information Security Policy outlines the mandatory controls, monitoring mechanisms, and response procedures that ensure the confidentiality, integrity, and availability of Secure Bank's information assets. All employees, contractors, service providers, and third-party partners must strictly adhere to this policy.

7.1 Security Controls

Secure Bank implements layered security controls to protect systems, customer data, and digital assets.

1. Multi-Factor Authentication (MFA)

- All employees must authenticate using **two or more factors** (password + OTP/token/biometric).
- MFA is mandatory for:
 - Core Banking System (CBS)
 - Internal administrative portals
 - Remote access (VPN)
 - Cloud dashboards

2. Data Encryption

- Sensitive customer data must be encrypted:
 - **At rest** using industry-standard encryption algorithms (AES-256 or equivalent).
 - **In transit** using TLS 1.2 or above.
- Encryption keys must be:
 - Rotated periodically
 - Stored in a secure key-management system

3. Role-Based Access Control (RBAC)

- Access to systems and data is granted strictly on a **Need-to-Know** and **Least Privilege** basis.
 - Access reviews must be conducted:
 - **Quarterly** for all employees
 - Immediately after role changes, resignation, or termination
 - Critical system access requires dual approval (Manager + IT Security).
-

7.2 Cybersecurity Monitoring

Secure Bank maintains continuous monitoring mechanisms to proactively detect threats and system anomalies.

1. Intrusion Detection System (IDS)

- Network traffic and server activity must be monitored using a certified IDS solution.
- Alerts for suspicious inbound/outbound traffic must be reviewed **immediately**.
- All high-severity alerts must be escalated to Cybersecurity Operations (CSOC).

2. Firewall & Network Log Reviews

- Firewall logs must be reviewed **daily** by IT Security.
- Unauthorized access attempts, port scans, or misconfigured rules must be reported within **24 hours**.
- Firewall rule changes must follow a formal approval workflow.

3. Endpoint Protection

- All workstations, laptops, and servers must have:
 - Anti-malware
 - Host-based firewalls
 - Automated patching enabled
 - Unpatched systems older than **30 days** are flagged for immediate remediation.
-

7.3 Incident Response Policy

All cybersecurity events—suspected or confirmed—must follow the official incident response procedures.

1. Mandatory Reporting

- Any employee encountering unusual system behavior, suspected breach, unauthorized access, or data leakage **must report the incident within 15 minutes** to:
 - Branch Manager
 - IT Security / CSOC Hotline
 - Email: incidents@securebank.com

2. Severity Classification

Every incident must be categorized as:

Severity	Description
Low	Minor disruptions, no data impact
Medium	Limited system impact or policy violations
High	Data exposure, unauthorized access, service disruption
Critical	Major breach, financial impact, regulatory implications, ongoing attack

3. Incident Handling Steps

1. **Containment** – isolate affected systems
2. **Investigation** – log review, forensic assessment
3. **Eradication** – remove threats, patch vulnerabilities
4. **Recovery** – restore systems with integrity checks

5. Post-Incident Activities

4. Root Cause Analysis (RCA)

- A formal RCA is **mandatory** for all High/Critical incidents.
 - Must be completed within:
 - **48 hours** for High severity
 - **24 hours** for Critical severity
 - RCA must include:
 - What happened
 - Why it occurred
 - Mitigation steps
 - Long-term prevention plan
-

7.4 Employee Responsibilities

- Do not share passwords or store them insecurely.
 - Report phishing attempts immediately.
 - Use bank-approved devices and secure Wi-Fi networks.
 - Attend mandatory **Information Security Awareness Training** annually.
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7.5 Record Retention & Compliance

- Logs, incident reports, access records, and audit trails must be retained for **7 years**.
- All practices must align with:
 - RBI Cybersecurity Framework
 - IT Act & Data Protection Guidelines
 - Secure Bank's internal policies

8. CUSTOMER GRIEVANCE REDRESSAL POLICY

Secure Bank is committed to providing transparent, fair, and timely resolution of all customer grievances. This policy ensures that every query, complaint, or dispute is

handled efficiently through a structured escalation mechanism. All employees must follow this framework to maintain customer trust and meet regulatory expectations.

8.1 Objective of the Policy

- Ensure prompt and fair handling of customer complaints.
 - Provide multiple channels for customers to register grievances (branch, phone, email, website).
 - Comply with internal service standards and regulatory grievance redressal guidelines.
 - Monitor and analyze complaints to improve service quality.
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8.2 Resolution Timelines (Escalation Matrix)

Complaints must be resolved within the specified Turn-Around-Time (TAT). If the customer is not satisfied or the complaint is not resolved within the stipulated time, it automatically escalates to the next level.

Level 1: Branch Manager

- **TAT:** 48 hours
- **Handles:**
 - Basic service issues
 - Transaction-related queries
 - Branch staff behavior concerns

Level 2: Regional Office

- **TAT:** 5 working days
- **Handles:**
 - Unresolved Level-1 complaints
 - Complaints involving inter-branch coordination
 - System-related or process-related delays

Level 3: Nodal Officer

- **TAT:** 30 days

- Handles:
 - High-severity complaints
 - Regulatory escalations
 - Cases requiring specialized review
 - Final authority before escalation to:
 - **Banking Ombudsman**, where applicable
-

8.3 Accepted Categories of Grievances

The following types of customer complaints must be formally logged and resolved through the grievance management system:

1. ATM-Related Failures

- Cash not dispensed but debited
- Partial dispensation
- ATM downtime or technical errors

2. Unauthorized Card Transactions

- Card-not-present fraud
- Skimming/Cloning attacks
- Misuse of lost/stolen cards
- Double charges or merchant errors

3. Loan-Related Complaints

- Delay in loan processing
- Incorrect EMI calculations
- Issues with disbursement
- Miscommunication on interest rates or terms

4. Staff Behaviour or Service Quality Issues

- Rude or unprofessional staff behaviour
- Delayed service response
- Failure to follow standard operating procedures

5. General Banking Issues

- Cheque clearing delays
 - Account charges disputes
 - Mobile/Internet banking errors
 - Branch operational difficulties
-

8.4 Customer Rights

Secure Bank ensures that every customer is entitled to:

1. Transparency

- Clear communication about products, fees, and complaint status.
- Access to the grievance redressal policy through the bank's website and branches.

2. Fair Treatment

- No discrimination based on age, gender, religion, financial status, or literacy level.
- Objective and unbiased investigation of every complaint.

3. Timely Response

- Acknowledgment of complaint within prescribed timelines.
 - Resolution within the defined TAT (as per escalation matrix).
 - Reasoned communication if additional time is required.
-

8.5 Complaint Logging & Tracking

- Complaints may be registered via:
 - Branch visit
 - Toll-Free Customer Care
 - Email: support@securebank.com
 - Online portal / Mobile banking
- Each complaint receives a **unique complaint reference number** for tracking.

- System reports must be reviewed **weekly** by Branch Managers and **monthly** by Regional Offices.
-

8.6 Monitoring & Compliance

- Quarterly grievance review meetings must be conducted.
- Repeated complaints of the same nature must be escalated to Compliance and Operations teams for root-cause analysis.
- Serious violations are reported to regulatory authorities as mandated.

9. AUDIT & COMPLIANCE POLICY

The Audit & Compliance Policy sets forth the framework that ensures Secure Bank adheres to statutory, regulatory, and internal operational requirements. This policy aims to safeguard the bank's financial integrity, operational soundness, and risk-management standards through continuous monitoring, structured audits, and timely reporting.

9.1 Internal Audit Framework

Secure Bank maintains a structured, risk-based audit system covering all branches, operational units, technology systems, and compliance functions.

1. Branch Audit

- Frequency: **Every 12 months**
- Conducted by: Internal Audit Department or authorized external auditors
- Scope includes:
 - Cash handling and teller operations
 - Adherence to KYC/AML procedures
 - Locker operations
 - Account opening/closure compliance
 - Customer service standards
 - Documentation and record-keeping

2. IT Audit

- Frequency: **Every 6 months**
- Scope includes:
 - Cybersecurity posture assessment
 - Access control reviews
 - Application & database security
 - Patch and vulnerability management
 - Network security controls
 - Disaster recovery and backup checks

Audit observations must be recorded, risk-rated, and shared with the CIO and Compliance Department for corrective action.

9.2 Key Focus Areas of Audit

During both branch and IT audits, the following priority areas must be assessed:

1. Transaction Accuracy

- Verification of system-posted entries
- Reversal checks
- Suspense account review
- Cross-checking cash and non-cash transactions with physical records

2. Cash Handling Compliance

- Tallying of teller drawers and vault balances
- Dual custody protocol verification
- ATM cash replenishment records
- Daily cash settlement procedures

3. KYC / AML Adherence

- KYC completeness and validity
- Customer risk categorization accuracy
- AML monitoring processes
- Watchlist screening evidence and exception handling

- EDD documentation for high-risk customers

4. Policy Implementation Gaps

- Non-compliance with internal policies
- Process deviations
- Control breaches or staff negligence
- Pending audit issues from previous cycles
- Gaps in process documentation or staff training

Each finding must include the **severity level**, **recommendation**, and **responsible department** for closure.

9.3 Compliance Oversight

The Compliance Department ensures ongoing adherence to regulatory requirements through:

- Daily monitoring of regulatory alerts
- Review of policy updates issued by regulators
- Training employees on compliance obligations
- Coordinating with Internal Audit for gap closures
- Tracking overdue corrective actions

Compliance breaches must be immediately escalated to the **Chief Compliance Officer (CCO)**.

9.4 Regulatory Reporting

Secure Bank must submit timely and accurate statutory reports to applicable regulatory authorities.

Reporting Requirements

- **Quarterly Statements:**
Submitted to regulators covering:
 - Financial health indicators
 - NPA (Non-Performing Asset) status

- Capital adequacy ratios
- Fraud reports
- Compliance status updates
- **Monthly / Annual Reports:**
As mandated (varies by jurisdiction), including operational metrics, cybersecurity posture, and audit closure reports.

All reports must be:

- Verified by the Compliance Department
 - Approved by senior management
 - Archived for at least **10 years**
-

9.5 Follow-Up & Corrective Action

- Every audit finding must have an **Action Plan**, assigned owner, and ETA.
- High-risk issues must be resolved within **30 days**.
- Compliance tracks closure and reports status during management reviews.
- Repeat findings are treated as **serious control failures** and escalated to the Audit Committee.

10. BUSINESS CONTINUITY & DISASTER RECOVERY (BCP/DR) POLICY

The Business Continuity & Disaster Recovery Policy ensures that **Secure Bank** can continue critical operations with minimal disruption during natural disasters, cyber-attacks, system failures, or any unforeseen emergency. This policy governs preparedness, response, recovery, and employee responsibilities across all branches and operational units.

10.1 Purpose

The primary objectives of the BCP/DR Policy are:

- To **ensure uninterrupted banking services** during disasters or operational disruptions.

- To **protect customer data**, assets, and essential business services.
 - To minimize financial and reputational impact on Secure Bank.
 - To provide a structured framework for restoration of services.
-

10.2 Business Continuity Planning (BCP) Features

Secure Bank maintains a robust BCP framework with the following core components:

1. Hot-Site Infrastructure

- A geographically separate, fully equipped **hot-site** is maintained.
- Enables instant activation of critical banking applications if the primary site fails.
- Provides workstation availability for essential staff.

2. Real-Time Data Replication

- Customer and transactional data is replicated to the DR site in **near real-time**.
- Data synchronization ensures minimal loss (RPO—Recovery Point Objective—within minutes).
- Backup jobs run daily with verification checks.

3. Emergency Communication Protocols

- Multi-channel communication systems:
 - SMS Broadcast
 - Email Alerts
 - Emergency Hotline
 - Internal Messaging Tool
- Employees receive communication playbooks with predefined messaging templates.
- Priority communication is directed to:
 - Senior Management
 - Operations Teams
 - Cybersecurity Team
 - Branch Managers

4. Critical Function Mapping

BCP covers the continuity of:

- Core Banking System (CBS)
- ATM & Card Networks
- Internet/Mobile Banking Services
- Treasury Operations
- Customer Support

Each function has a defined **Recovery Time Objective (RTO)**.

10.3 Disaster Recovery (DR) Procedures

DR mechanisms ensure the swift restoration of IT systems after major disruptions.

1. DR Activation Conditions

DR is triggered in scenarios such as:

- Data center outage
- Severe cyber-attack
- Network failure
- Fire, flood, or natural disaster
- Prolonged power outage

Activation must be approved by:

- Chief Information Officer (CIO)
- Chief Risk Officer (CRO)
- Incident Response Lead

2. DR Drills

- DR drills must be conducted **every 6 months**.
- Both planned and surprise drills must be scheduled.
- Each drill must test:
 - Application failover
 - Data integrity
 - Restoration times

- Inter-team coordination
 - Post-drill reports must be submitted to:
 - IT Governance
 - Internal Audit
 - Senior Management
-

10.4 Employee Responsibilities During Emergencies

All employees must follow approved BCP/DR protocols during disruptions.

1. Follow Evacuation Procedures

- Use designated exit routes.
- Assist elderly or differently-abled customers, where safe.
- Report to the assembly point.

2. Preserve Critical Records

- Secure documents, logs, and forms.
- Lock cash vaults, teller drawers, and secure cabinets.
- Shut down systems safely when instructed.

3. Status Reporting

- Employees must report their safety and availability to supervisors.
- Managers must update the central command center with branch status (damage, accessibility, system status).

4. Role-Based Responsibilities

- **Branch Managers:** Coordinate evacuation, secure premises, update command center.
 - **Operations Staff:** Protect assets and follow shutdown protocols.
 - **IT Teams:** Enable restoration, execute DR steps, ensure system integrity.
-

10.5 Post-Incident Review

- A formal **Post-Incident Report (PIR)** is mandatory after every disaster or DR activation.

- PIR must include:
 - Cause & impact summary
 - Recovery time actuals vs. target
 - Gaps identified
 - Recommendations for improvement
 - Must be completed within **7 working days** and submitted to Senior Management & Compliance.
-

10.6 Compliance & Governance

- The BCP/DR framework must align with:
 - Regulatory guidelines
 - Industry best practices
 - Internal audit recommendations
- Non-compliance or negligence may result in disciplinary action.

11. FIXED DEPOSIT (FD) & TERM DEPOSIT POLICY

The Fixed Deposit (FD) & Term Deposit Policy governs interest rate structures, tenure-based returns, penalties, and premature withdrawal conditions for all deposit products at Secure Bank. These guidelines ensure consistency, transparency, and compliance across all branches.

11.1 FD Product Overview

Secure Bank offers multiple categories of Fixed/Term Deposits catering to resident individuals, senior citizens, and Non-Resident Indians (NRIs). Key attributes include:

- Guaranteed returns for a defined tenure
- Flexible tenure options
- Higher interest rates for senior citizens (+0.50%)

- Multi-currency options for FCNR deposits
- Compliant with RBI interest rate and premature withdrawal norms

11.2 FD Tenure vs Interest Rate Matrix

Tenure Range	Resident FD Interest Rate	Senior Citizen FD Rate	Notes
7 – 45 days	2.5% – 3.0% p.a.	+0.50% extra	Short-term FD
46 – 179 days	3.0% – 3.5% p.a.	+0.50% extra	Higher liquidity
180 – 364 days	3.5% – 4.0% p.a.	+0.50% extra	Popular tenure
1 – 2 years	4.0% – 4.5% p.a.	+0.50% extra	Regular FD cycle
2 – 5 years	4.0% – 5.0% p.a.	+0.50% extra	Medium-term FD
5 – 10 years	4.5% – 5.5% p.a.	+0.50% extra	Long-term deposit

NRE FD Interest Range: 4% – 5.5% p.a. \ **NRO FD Interest Range:** 2.75% – 4% p.a. \

FCNR (USD/GBP/EUR): Currency-linked rates, tenure 1–5 years

11.3 Premature Withdrawal Policy

Premature withdrawal is permitted under certain conditions unless restricted by specific schemes.

Rules:

- No interest payable if withdrawn **before 7 days**.
 - Premature closure after minimum lock-in attracts a **penalty of 0.5% – 1%** on applicable interest rate.
 - Senior citizen bonus (+0.50%) **is not applicable** on prematurely closed deposits.
 - FCNR premature withdrawals follow RBI lock-in conditions (no interest if withdrawn before 1 year).
-

11.4 Penalties & Violation Fees

A. Premature Withdrawal Penalty

- FD < 1 year: **0.50% penal adjustment**

- FD $\geq$ 1 year: **1.00% penal adjustment**

B. Minimum Balance Violation Fee (If Linked Savings Account Insufficient)

(Taken from Savings MAB rules) Shortfall up to 25% $\rightarrow$ ₹100

- 25%–50% shortfall $\rightarrow$ ₹150
- Above 50% $\rightarrow$ ₹200

C. Auto-Renewal Failure / Maturity Default

- If customer's instructions are missing, FD may auto-renew at **prevailing rate**.
- Penalty of **₹200** for reversal of auto-renewal if done after 30 days.

D. Missed Documentation / KYC Violations

- FD cannot be renewed if KYC is outdated.
 - Delay beyond permissible period may lead to **account restrictions**.
-

11.5 NRI-Specific FD Rules

A. NRE Fixed Deposit

- Interest: **4% – 5.5% p.a.**
- Fully repatriable
- Tax-free interest in India [\[1\]](#)

B. NRO Fixed Deposit

- Interest: **2.75% – 4% p.a.**
- Interest subject to TDS
- Partially repatriable under RBI guidelines

C. FCNR Deposit

- Tenure: **1–5 years**
 - Interest varies by currency (USD/GBP/EUR)
 - Currency fluctuation protection included
-

11.6 Interest Calculation Rules

- Calculated using daily/quarterly compounding as per scheme

- Credited quarterly or at maturity
- No interest for dormant or restricted accounts